Business Model Canvas

The Business Opportunity

Where is the gap in the market, and how do you intend to fill it?

The Problem

- **$2.5T global SME trade finance gap (ADB, 2025); ~45% rejection rate**
- Same fixed compliance cost on a $10K trade as a $5M trade
- SME ticket sizes uneconomic for banks at scale
- Most SME cross-border trade still on trust, in cash, or not at all

Our Solution

- UCP 600 documentary credit, stablecoin settlement, without the issuing bank
- Buyer escrow → seller documents → release on compliant presentation
- Four verification layers plus an invoked escalation route

Business Description

Brief outline of your business model

- **Regulated operator: escrow, verification, settlement orchestration**
- Smart-contract escrow holds stablecoins against documentary release rules
- Mirrors UCP 600 Article 14 strict-compliance logic
- Settlement on stablecoin rails (USDC), not bank correspondent networks
- Not a bank: no deposits, no lending, no token issuance
- Not DeFi: centralised trust and compliance layer by design
- Launch route: DIFC regulated-partner pilot Month 12, first receipts Month 13
- Full VARA licence targeted Month 18 — the gate for UAE-wide scale

Target Market

Sector & geography

- **SME importers/exporters; UAE launch market**
- Corridors: UAE–India (CEPA), UAE–Türkiye (textiles)
- Sectors: manufacturing, consumer goods, electronics, textiles
- Ticket: £20K–£50K at launch → £36K–£87K by Year 5

Strategic goals

- Payment without LC cost or the 4–6 week wait
- Counterparty access without bank gatekeeping
- Verified trade reputation that travels across deals

Pain points & risks

- LC pricing and access barrier at SME tickets
- Pre-shipment payment-trust gap
- Document fraud and discrepancy risk
- Corridor FX and regulatory friction

USPs

How does your product/service compare? What makes you unique?

- **Only UCP 600-aligned documentary credit on stablecoin rails**
- Four-layer verification: screening → extraction → source corroboration → contracted examiner
- Self-pricing tiered model — customers trade speed against cost of trust
- Gulf-native: UAE regulator-ready (VARA, DIFC, CBUAE PTSR 2024)
- Cheaper all-in than an LC on the deals that matter most
- Regulated operator, non-custodial by design: not a bank, not DeFi

Revenue

Streams

- **A. Tiered escrow fee: 0.8% / 1.5% / 3.0% by verification tier**
- B. Document review, dispute, expedited and onboarding fees
- C. Partner/API setup and committed-volume fees

Projected revenue — base case

- Year 3: £1.37m revenue on 2,000 deals and £76m GMV
- Blended take rate falls 2.0% → 1.0% as Tier A grows 15% → 70%
- Gross margin 71–79%; ancillary fees are 17–26% of revenue
- Monthly cash-flow break-even in Year 4, Month 8

Costs

Funding requirement

- **£3.06m operating funding to break-even; £319k VARA capital separate**

Fixed

- Payroll — 8 FTE at launch to 24 by Year 5; dominant cost
- Compliance, MLRO, VARA supervision and operational resilience
- Engineering, cloud, monitoring and security tooling
- Insurance (PI, cyber, D&O) and legal retainer

Variable (per deal)

- eBL/carrier API lookup, or paper collection
- Contracted documentary examiner time
- KYB/KYC screening per new counterparty
- On-chain gas and settlement cost
- Dispute handling and enhanced review above £50K

Channels

How will you promote your product or service?

Direct

- **Dubai and Sharjah chambers of commerce**
- Freight forwarder referrals
- DIFC FinTech Hive; Gulfood, GITEX, Dubai FinTech Summit

Indirect

- Regulated-partner distribution — the base case's primary scale route
- Fintech wallet integrations (white-label verification API)
- Logistics platform API partnerships

Competition

Who are your competitors and what are their USPs?

- **Bank-issued LCs** — trust and networks; 1–3% commission before the fee stack
- **Tazapay** — escrow-as-a-service; manual review, custodial fiat rails
- **Truzo** — narrow UK–SA corridor; manual KYC
- **XREX** — licensed custodial escrow; releases on agreement, not documents
- **Komgo / Contour** — bank-consortium LC digitisation; Contour shut in 2023

Sources: ADB (2025); ICC UCP 600 (2007); CBUAE Payment Token Services Regulation (2024); VARA Rulebook (2026); Blockmediary financial model, 13 Aug 2026; docs/Competitor-analysis.md. Figures are base case. GMV is trade value processed, not revenue.